MUMIAS SUGAR
COMPANY LIMITED

Home of Natural Kenyan Sweetness

PRESS RELEASE

ABRIDGED UNAUDITED RESULTS
FOR SIX MONTHS ENDED 31ST DECEMBER 2018

MUMIAS SUGAR COMPANY LIMITED
CONDENSED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 31ST DECEMBER 2018

	Six Months to Dec 2018 Shs'000	Six Months to Dec 2017 Shs'000
Net Revenue	25,922	680,514
Cost of Sales	(948,169)	(1,770,007)
Gross Loss	**(922,247)**	**(1,089,493)**
Fair value gain/ (loss) on biological assets	30	5,065
Other Operating Income	4,300	2,967
Marketing and Distribution costs	(19,196)	(45,347)
Administrative Expenses	(240,034)	(630,820)
Finance Income	(3,371)	2,732
Finance Costs	(812,348)	(781,157)
Loss before taxation	**(1,992,866)**	**(2,536,053)**
Taxation Credit	458,359	583,292
Loss after taxation	**(1,534,507)**	**(1,952,761)**
TOTAL COMPREHENSIVE LOSS FOR THE PERIOD	**(1,534,507)**	**(1,952,761)**
	Shs	**Shs**
Earnings per share - basic & diluted	(1.00)	(1.28)

MUMIAS SUGAR COMPANY LIMITED
CONDENSED STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2018

	Dec 2018 Shs'000	June 2018 Shs'000
ASSETS		
Non-current assets	14,359,805	15,107,367
Current assets	1,074,039	628,242
TOTAL ASSETS	**15,433,845**	**15,735,609**
EQUITY AND LIABILITIES		
Shareholders' equity	(15,919,610)	(14,385,103)
Non-current liabilities	8,909,137	8,487,721
Current liabilities	22,444,318	21,632,991
TOTAL EQUITY AND LIABILITIES	**15,433,845**	**15,735,609**

CONDENSED STATEMENT OF CHANGES IN EQUITY FOR SIX MONTHS ENDED 31ST DECEMBER 2018

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1st July 2017	3,060,000	6,464,988	(8,768,408)	756,580
Total comprehensive loss for the period - 2017	-	-	(1,952,761)	(1,952,761)
At 31st December 2017	**3,060,000**	**6,494,988**	**(10,721,169)**	**1,196,181**
At 1st July 2018	3,060,000	5,732,301	(23,177,404)	(14,385,103)
Total comprehensive loss for the period – 2018	-	-	(1,534,507)	(1,534,507)
At 31st December 2018	**3,060,000**	**5,732,301**	**(24,711,911)**	**(15,919,610)**

MUMIAS SUGAR COMPANY LIMITED
CONDENSED STATEMENT OF CASH FLOWS FOR SIX MONTHS ENDED 31ST DECEMBER 2018

	2018 Shs'000	2017 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash used in operations	(585,744)	(401,604)
CASH FLOWS FROM INVESTING ACTIVITIES		
Net cash used in investing activities	262	(35,078)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net cash generated from financing activities	-	500,000
INCREASE/ (DECREASE) IN CASH AND CASH EQUIVALENTS	(585,482)	63,318
CASH AND CASH EQUIVALENTS AS AT 1ST JULY	(2,762,408)	(2,700,735)
CASH AND CASH EQUIVALENTS AS AT 31st DECEMBER	**(3,347,890)**	**(2,637,417)**

BASIS OF PREPARATION

These condensed unaudited interim financial statements have been prepared in accordance with International Accounting Standard No. 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements as at and for the year ended 30 June 2018, which were prepared in accordance with International Financial Reporting Standards. The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in preparation of the annual financial statements as at and for the year ended 30 June 2018.

RESULTS OVERVIEW

During the six months period from July 2018 to December 2018, the company recorded sales revenue of Kshs 25.9 million compared to Kshs 680.5 million in the six months ended 31st December 2017. The 96% drop was occasioned by lack of product for sale following the stoppage of the production lines during the period under review. 245,798 litres of Extra Neutral Alcohol (ENA) and 138,000 litres of Technical Alcohol (TA) carried over from previous financial year were sold at an average price of 96 and 20 per litre respectively. There were no sales of sugar and export of power. The company received Kshs 4.3 million from rentals and disposals. Cost of sales reduced by 46% to Kshs 948 million down from 1.7 billion as a result of the production stoppage. Prudent cost management and reduced production activity yielded significant drops in administrative costs and marketing costs of 62% and 58% respectively compared to previous period. Finance costs increased by 4% to Kshs 812 million compared to Kshs 781 million as a result of loan default penalties, interest and forex exchange losses realized in the period. The loss after tax improved by 21% to Kshs 1.53 billion compared to Kshs 1.95 billion reported during the previous year.

FUTURE OUTLOOK

Board and Management are optimistic that there will be improved performance in the second half of the year through the production of Extra Neutral Alcohol and intensified cost cutting measures on controllable costs such as employment related expenditure, fuel, factory spares and capital expenditure. The distillery has been successfully positioned to operate as a distinct plant independent of the Sugar and Cogen plant. Maintenance of the sugar plant is ongoing.

The Board and Management are engaging the key stakeholders for the turnaround of the company including consideration for a strategic investor. Discussions with the lenders to restructure the debts and extend the standstill arrangements are ongoing.

The recent payment of farmers' arrears by the Government of Kenya is expected to motivate the farmers to embark on sugar cane growing. Farmer engagement through extensions and mobilization within the cane zone is ongoing. The Board and Management have embarked on Nucleus estate rehabilitation and are confident that sugar production will commence as more sugar cane is availed for milling.

DIVIDENDS

The Board of Directors does not recommend payment of an interim dividend for the first half of the year.

BY ORDER OF THE BOARD

DR. KENNEDY NGUMBAU MULWA, HSC
CHAIRMAN

EXPRESSION OF INTEREST
LEASING OUT OF THE NON-CORE FUNCTIONS AT MUMIAS SUGAR COMPANY

Background:
Mumias Sugar Company is Kenya's leading producer of Sugar and diversified products which include Ethanol, Bottled Water and Electricity.

Objective
Mumias Sugar Company seeks expression of interest from qualified firms or persons with proven track record in operating similar facilities to lease the facilities from Mumias Sugar Company.

(EOI)NO.	DESCRIPTION
MSC/EOI/001/2019	Leasing of MSC Nucleus Estate and developing sugar cane on the same for MSC factory.
MSC/EOI/002/2019	Leasing of a New Modern Office Block with elevator, ample parking with cafeteria facilities situated within MSC compound
MSC/EOI/003/2019	Leasing of Mumias Sugar Company Golf Club and Guest House
MSC/EOI/004/2019	Leasing of Booker Academy Schools: Infant, Primary and Secondary at Mumias Sugar Company.
MSC/EOI/005/2019	Property Management of the MSC Housing Estates, Medical Center and Supermarket within Mumias Sugar Company premises.
MSC/EOI/006/2019	Leasing of the Mumias Sugar Sports Complex(stadium, auditorium, library, gym, bar and restaurant)
MSC/EOI/007/2019	Leasing of a Modern Water Bottling Plant situated within Mumias Factory premises.
MSC/EOI/008/2019	Purchase of assorted water bottling preforms and caps. (approximately 3.5 million pieces)
MSC/EOI/009/2019	Leasing and operation of 34.2 Megawatts Cogeneration plant within Mumias Sugar Company Factory premises

Interested firms or persons may obtain further information from the office of the **Procurement Manager,** located at Mumias Sugar Company Premises or through Tel: (254)0711094000 or 0734600334/5, Email: **tenders@mumias-sugar.com** on normal working days beginning **date of advert.**

The Expression of Interest documents can be viewed and down loaded from the website **www.mumias-sugar.com.** Bidders who download the documents from the website must forward their particulars immediately to **tenders@mumias-sugar.com** to facilitate any further clarification and addenda.

The Expression of Interest must be delivered in a **plain sealed envelope marked with the EOI description and number** before **Friday 17th May 2019** to the following address: -

The Ag.Chief Executive Officer Mumias Sugar Company Limited, Private Bag, MUMIAS, Kenya

The EOI should be dropped in the tender box on the first floor of the main Administration Block at Mumias Sugar Factory.

The EOI will be opened soon after the closing time in the presence of the candidates or their representatives who choose to attend at Mumias Sugar Company Training Centre.

PROCUREMENT MANAGER